

> PRACTICE EXERCISE

1. Which are the incorrect functions of the RBI, out of the given statements?

1. Issuing and disbursing agency for all currency notes and coins in India.
2. Stabilising exchange rate of rupee.
3. Forwarding short-term and long-term loans to the Government of India.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 2 and 3
(c) Only 3 (d) 1 and 3

2. Which of the following does not come under 'Plan expenditure'?

1. Supports to the state plans and 'grants-in-aid' given to them by the Government of India.
2. Maintenance of assets created under plan expenditure.
3. Recapitalisation funds for public sector banks.

Select the correct answer using the codes given below.

- (a) 1 and 2 (b) 2 and 3
(c) 1 and 3 (d) All of these

3. Consider the following statements

1. Government of India has not set-up any new PSU in last 3 years.
2. Government now concentrates on social sector and lets the private sector to take care of industrial sector.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

4. Consider the following statements regarding 'plan' and 'non-plan expenditure'.

1. Plan expenditure goes towards fulfilling the Five Year Plan.
2. Assets created under plan expenditure get their maintenance funds also under plan expenditure.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

5. Which of the following was launched by the government on the advice of the World Bank?

1. New Agricultural Strategy
2. Food Corporation of India
3. Public Distribution System
4. Agriculture Prices Commission

Select the correct answer using the codes given below.

- (a) 1 and 2 (b) 2, 3 and 4
(c) 1 and 4 (d) All of these

6. Aadhar has huge potential for improving operations and delivery of service. Its potential application in various significant public services delivery and social sector programme is immense. In this context, consider the following statements.

1. The UID database can be used for the authentication of beneficiaries under the Public Distribution System.
2. It will help in enhancing the efficiency of social audit of programmes.
3. It will enable greater commitment towards government financing of public health and primary healthcare.

Which of the statements given above are correct?

- (a) 1 and 2 (b) 1 and 3
(c) 2 and 3 (d) All of these

7. Which of the following statements, related to World Bank Organisations, IBRD and IDA?

1. India use IDA funds on social sector.
2. India use IBRD funds on infrastructure development.
3. IBRD loans are cheaper than IDA loans.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 1 and 3
(c) 1 and 2 (d) 2 and 3

8. The SEZ Act 2005, has certain objectives. In this context, consider the following.

1. Development of infrastructure facilities.

2. Promotion of investment from foreign sources.

3. Promotion of export of services only.

Which of the objectives(s) given above is/are of this act?

- (a) Only 2 (b) 1 and 2
(c) 2 and 3 (d) All of these

9. Consider the following statement(s)

1. In Third Five Year Plan growth rate of agriculture products was negative.
2. In Third Five Year Plan Indian economy took the first step to devalue the Indian rupee after independence.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

10. What is an ECO-MARK?

- (a) A scheme for labelling pollution-free industrial unit
- (b) A scheme for labelling environment friendly consumer product
- (c) A cost effective production technique
- (d) An international certification of Eco-friendly building

11. The Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) is an Indian job guarantee scheme enacted by legislation on 25th August, 2005. Which among the following statements is not correct regarding MGNREGA?

1. The scheme provides a legal guarantee for at least one hundred days of employment in every financial year to adult member of any rural household willing to do work.
2. This act was introduced with an aim of improving the purchasing power of the rural people.
3. The law was initially called the National Rural Employment Guarantee Act (NREGA) but was renamed on 2nd October, 2009.

Select the correct answer using the codes given below.

- (a) Only 1 (b) Only 2
(c) All of these (d) None of these

12. With reference to BRIC countries, consider the following statement(s)

1. At present China's GDP is more than the combined GDP of all the three other countries.
2. China's population is more than the combined population of any two other countries.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

13. Which one of the following statements is not correct?

- (a) Commercial Bank reserves held by RBI are an asset of Commercial Banks
- (b) Commercial Banks decrease the supply of money, when they purchase government bonds from householders or businesses
- (c) Actual reserves don't necessarily exceed required reserves
- (d) The supply of money increases, when the RBI buys government securities from households or businesses

14. Why is Reserve Bank of India (RBI) also known as Bankers' Bank and lender of last resort?

- (a) Reserve Bank of India maintains the security of the Commercial Banks and appointment of its officials.
- (b) Commercial Banks need to keep some amount in the custody of the RBI and can borrow from the RBI at the times of need and urgency
- (c) RBI acts as an agent of the government to regulate the day-to-day functions of the Commercial Banks and maintains the liquidity of the banks
- (d) Both 'a' and 'c'

15. With reference to the Indian economy, consider the following statements

1. Agriculture, forestry and fishing.
2. Manufacturing.
3. Trade, hotels, transport and communication.
4. Financing, Insurance, real estate and business services.

The decreasing order of the contribution of these sectors to the Gross Domestic Product (GDP) at factor cost at constant prices (2013-14) is

- (a) 3, 1, 2, 4 (b) 3, 4, 1, 2
(c) 4, 3, 1, 2 (d) 1, 3, 2, 4

16. The largest of Gross Domestic Product (GDP) in India comes from

- (a) agriculture and allied sectors
- (b) manufacturing construction, electricity and gas
- (c) service sector
- (d) defence and public administration

17. Consider the following statement(s) about the Navratna Status Industries.

1. Navratna was originally assigned to nine Public Sector Enterprises in 1997.
2. The number of PSEs having Navratna status is now 17 industries.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

18. Consider the following statement(s).

1. In the last 5 years, the revenue from the direct taxes constitute more than the half of revenue receipt in India.
2. The corporate tax constitute more than 50% of direct tax revenue source of the Central Government.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

19. Consider the following Public Sector Enterprises (PSEs)

1. Steel Authority of India Limited
2. Indian Oil Corporation Limited
3. Oil and Natural Gas Corporation
4. Hindustan Aeronautics Limited

Which of the PSEs given above are Maharatna industries in India?

- (a) 2 and 4 (b) 1, 2 and 3
(c) 2 and 3 (d) All of these

20. Value added tax is

- (a) an advolorem tax on domestic final consumption collected at all stages between production and point of final sale
- (b) an advolorem tax on final consumption collected at the manufacturing level

- (c) tax on final consumption collected at the consumption rate
- (d) a special tax levied by the states on products from other states

21. Which one of the following is correct about Twelfth Five Year Plan?

- (a) Twelfth Five Year Plan of Indian economy is from 2011-2016
- (b) Twelfth Five Year Plan aims to grow GDP at the rate of 10%
- (c) Twelfth Five Year Plan aims to sustain inclusive growth, which started in Eleventh Plan
- (d) Both 'a' and 'b'

22. Consider the following statement(s)

1. NABARD is an apex institution handling matters concerning policy, planning and operating the field of credit for agriculture and other developmental activities in rural India.
2. NABARD operates through its headquarter at Mumbai.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

23. Which one of the following is the objective of the Twelfth Five Year Plan of India?

- (a) Faster and inclusive growth
- (b) Faster, quick and reliable inclusive growth
- (c) Faster, reliable and more inclusive growth
- (d) Faster, sustainable and more inclusive growth

24. In India, which of the following have the highest share in the disbursement of credit to agriculture and allied activities?

- (a) Commercial Bank
- (b) Cooperative Bank
- (c) Regional Rural Bank
- (d) Micro Finance Institutions

25. Match the following

List I (Five Year Plans)	List II (Objectives)
A. First Plan	1. Growth with social justice
B. Third Plan	2. Sustainable inclusive growth
C. Fifth Plan	3. Self-reliant and self-generating economy
D. Twelfth Plan	4. Agriculture, irrigation and power projects

Codes

- | | |
|-------------|-------------|
| A B C D | A B C D |
| (a) 2 4 3 1 | (b) 2 3 4 1 |
| (c) 4 3 1 2 | (d) 1 3 2 4 |

26. Consider the following statement(s)

1. General Agreement on Trade in Services is a treaty of the World Trade Organisation (WTO) that entered into force in January, 1995.
2. All members of the WTO are signatories to the General Agreement on Trade in Services.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

27. The banks are required to maintain a certain ratio between their cash in the hand and total assets. This is called

- (a) Statutory Bank Ratio (SBR)
(b) Statutory Liquid Ratio (SLR)
(c) Central Bank Reserve (CBR)
(d) Central Liquid Reserve (CLR)

28. Consider the following norms of the Mid-day Meal Scheme.

1. To provide a minimum of 450 calories of food.
2. To provide a minimum 12 gm of protein.
3. To provide adequate quantities of micro-nutrients like iron, folic acid, Vitamin-A.
4. To provide adequate quantities of essential fatty acids and medicine for the common cold and diarrhoea.

Which of the norms given above are correct?

- (a) 1, 3 and 4 (b) 1, 2 and 3
(c) 1, 2 and 4 (d) All of these

29. Which one of the following factors is taken account to calculate the Balance of Payment (BoP) of a country?

- (a) Current account
(b) Changes in the Foreign Exchange Reserves
(c) Errors and omissions
(d) All of the above

30. Which one of the following unemployment is also known as search unemployment which occurs at the time period between jobs when a worker is searching for or transitioning from one job to another?

- (a) Seasonal unemployment
(b) Frictional unemployment
(c) Classical unemployment
(d) None of the above

31. Foreign Direct Investment (FDI) is investment directly into production in a country by a company located in another country, then which one of the following modes is correct about the FDI?

- (a) Buying a company in the target country
(b) Expanding operations of an existing business in that country
(c) Investing in the shares and stocks of a company in the target country
(d) Both 'a' and 'b'

32. Consider the following statement(s)

1. Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation (BIMSTEC) is visualised as a bridging link between ASEAN and SAARC.
2. It was formerly known as the Bangkok Agreement.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) Only 2
(c) Both 1 and 2 (d) Neither 1 nor 2

33. Devaluation of currency by a country is meant to lead to

1. expansion of import trade.
2. promotion of import substitution.
3. expansion of export trade.

Select the correct answer using the codes given below.

- (a) Only 1 (b) 2 and 3
(c) 1 and 2 (d) 1 and 4

34. Consider the following action(s) which the government can take.

1. Devaluating the domestic currency.
2. Reduction in the export subsidy.
3. Adopting suitable policies which attract greater FDI and more funds from FIIs.

Which of the above action can help in reducing the current account deficit?

- (a) 1 and 2 (b) 2 and 3
(c) Only 3 (d) 1 and 3

35. Which of the following would include Foreign Direct Investment in India?

1. Subsidiaries of companies in India.
2. Majority foreign equity holding in Indian companies.

3. Companies exclusively financed by foreign companies.

4. Portfolio investment.

Select the correct answer using the codes given below.

- (a) 2 and 4 (b) 1 and 3
(c) 1, 2 and 3 (d) All of these

36. The sum total of incomes received for the services of labour, land or capital in a country is called

- (a) Gross Domestic Product
(b) National Income
(c) Gross Domestic Income
(d) Gross National Income

37. Mixed economy means an economy where

- (a) both agriculture and industry are equally promoted by the state
(b) there is co-existence of public sector along with private sector
(c) there is importance of small-scale industries along with heavy industries
(d) economy is controlled by military as well as civilian rules

38. Which of the following bodies finalises the Five Year Plan proposals?

- (a) Planning Commission
(b) Union Cabinet
(c) National Development Council
(d) Ministry of Planning

39. Economic survey is published by

- (a) Ministry of Finance
(b) Planning Commission
(c) Government of India
(d) Indian Statistical Institute

40. The Planning Commission of India

1. was set-up in 1950.
2. was a constitutional body.
3. was an advisory body.
4. was a government department.

Select the correct answer using the codes given below.

- (a) Only 3 (b) 2 and 3
(c) 1 and 3 (d) 1 and 2

41. Match the following

List I	List II
A. First Plan	1. Rapid Industrialisation
B. Second Plan	2. Community Development Programme
C. Third Plan	3. Expansion of Basic Industries
D. Fourth Plan	4. Minimum Needs Programme
E. Fifth Plan	5. Achievement of Self-Reliance and Growth with Stability

Codes

	A	B	C	D	E
(a)	1	2	3	4	5
(b)	2	1	3	5	4
(c)	2	1	3	4	5
(d)	2	1	4	5	3

42. Match the following

List I	List II
A. Year of the Great Divide	1. 1950
B. Industrial Policy Resolution	2. 1921
C. Setting up of Planning Commission	3. 1969
D. Nationalisation of 14 Commercial Banks	4. 1956

Codes

A	B	C	D	A	B	C	D
(a)	2	4	1	3	(b)	4	3
(c)	2	1	3	4	(d)	1	3

43. Rolling plan was designed for the period

- (a) 1978-83 (b) 1980-85
(c) 1985-90 (d) 1974-97

44. Which Committee's recommendations are being followed for estimating Poverty Line in India?

- (a) Dutt Committee
(b) Chelliah Committee
(c) Chakravorty Committee
(d) Lakdawala Committee

45. Unemployment which occurs when workers move from one job to another job is known as

- (a) seasonal unemployment
(b) frictional unemployment
(c) cyclical unemployment
(d) technological unemployment

46. The type of unemployment mostly found in India can be characterised as

- (a) structural (b) frictional
(c) cyclical (d) disguised

47. Which of the following group of states has the largest concentration of rural poor and people living below the poverty line?

- (a) Karnataka, Maharashtra, Goa
(b) Goa, Andhra Pradesh, Maharashtra
(c) Tamil Nadu, Kerala, Goa
(d) Andhra Pradesh, Karnataka, Tamil Nadu

48. 'Devaluation' means

- (a) converting rupee into gold
(b) lowering of the value of one currency in comparison of some foreign currency
(c) making rupee dearer in comparison to some foreign currency
(d) None of the above

- (c) making rupee dearer in comparison to some foreign currency
(d) None of the above

49. Hard Currency is defined as currency

- (a) which can hardly be used for international transactions
(b) which is used in times of war
(c) which loses its value very fast
(d) traded in foreign exchange market for which demand is persistently relative to the supply

50. The first bank established in India was

- (a) Punjab National Bank
(b) Traders Bank
(c) State Bank of India
(d) Bank of Hindustan

51. For regulation of the Insurance Trade in the country the Government has formed

- (a) SEBI
(b) Reserve Bank of India
(c) Insurance Regulatory and Development Authority
(d) General Insurance Corporation

52. Which of the following is not true about the Reserve Bank of India?

- (a) It regulates the currency and credit system of India
(b) It maintains the exchange value of the rupee
(c) Foreign exchange reserves are kept by RBI
(d) One rupee notes and coins are issued by RBI

53. When was the Reserve Bank of India taken over by the Government?

- (a) 1945 (b) 1948
(c) 1952 (d) 1956

54. What are gilt-edged securities?

- (a) Securities issued by multinationals
(b) Securities issued by the government
(c) Securities issued by the private sectors
(d) Securities issued by the joint venture companies

55. Among the following, which one is not a credit rating agency operating in India?

- (a) CRISIL (b) ICRA
(c) Dow Jones (d) CARE

56. Bank rate is the rate at which

- (a) a bank lends of the public
(b) the Reserve Bank of India lends to the public
(c) the Government of India lends to the other countries
(d) the Reserve Bank of India gives credit to commercial banks

- (c) the Government of India lends to the other countries
(d) the Reserve Bank of India gives credit to commercial banks

57. Participatory Notes (PNs) are associated with which one of the following?

- (a) Consolidated Fund of India
(b) Foreign Institutional Investors
(c) United Nations Development Programme
(d) Kyoto Protocol

58. 'Repo Rate' is the rate at which

- (a) the Reserve Bank of India lends to State Government
(b) the International aid agencies lend to Reserve Bank of India
(c) the Reserve Bank of India lends to banks
(d) the banks lend to Reserve Bank of India

59. In India, the bank NABARD does not provide refinance to

- (a) Scheduled Commercial Banks
(b) Regional Rural Banks
(c) Export-Import Banks
(d) State Land Development Banks

60. Open market operations of a Central Bank are sale and purchase of

- (a) foreign currencies
(b) corporate securities
(c) trade bills
(d) government securities

61. The place where bankers meet and settle their mutual claims and accounts is known as

- (a) treasury (b) clearing house
(c) collection centre (d) dumping ground

62. Consider the following statement(s)

- Scheduled Banks are those Banks which are included in the second schedule of the RBI Act, 1934.
- There are 15 non-scheduled commercial banks operating in the country.
- Cooperative banks are organised and managed on the principle self help and mutual help.

Which of the statement(s) given above is/are correct?

- (a) Only 1 (b) 1 and 2
(c) 1 and 3 (d) All of these

63. If the Cash Reserve Ratio is lowered by the Central Bank, what will be its effect on credit creation?

- (a) Decrease (b) Increase
(c) No change (d) None of these

64. The main function of the Exim Bank is

- (a) to help RBI in the regulation of foreign exchange
- (b) to prevent unlicensed transaction
- (c) to promote exports and curtail imports
- (d) to conserve foreign exchange

65. Which of the following are the functions of the Central Bank of India?

- 1. Regulation of currency and flow of credit system.
- 2. Maintaining exchange value of rupee.
- 3. Formulating monetary policy of India.
- 4. Supervisory powers over the indigenous bankers and leasing companies.

Select the correct answer using the codes given below.

- (a) 1 and 3 (b) 1, 2 and 3
- (c) 1, 2 and 4 (d) All of these

66. Consider the following statement(s)

- 1. Pump-priming refers to deficit financing and spending by a government on public works in an attempt to revive economy during recession counter cyclical measures.
- 2. The example of demerit goods include tobacco, alcohol etc.
- 3. Thirteenth Finance Commission called the demerit goods as sin goods and wants them to be harshly taxed.

Which of the statement(s) given above is/are correct?

- (a) Only 3 (b) 2 and 3
- (c) All of these (d) None of these

67. Which bank gives long-term loans of farmers?

- (a) NABARD
- (b) Land Development Bank
- (c) SBI
- (d) Rural banks

68. Consider the following statements

- 1. Life Insurance Corporation of India is the oldest insurance company in India.
- 2. National Insurance Company Limited was nationalised in the year 1972 and made a subsidiary of General Insurance Corporation of India.
- 3. Headquarters of United India Insurance Company Limited are located at Chennai.

Which of the statements given are correct?

- (a) 1 and 3 (b) 1 and 2
- (c) 2 and 3 (d) All of these

69. The standard of living in a country is represented by its

- (a) National Income
- (b) Per Capita Income
- (c) Poverty Ratio
- (d) Unemployment Rate

70. Which is the best measure of economic growth of a country?

- (a) GNP (b) GDP
- (c) Net revenue (d) None of these

71. Consider the following statements with regard to Statutory Liquidity Ratio (SLR)

- 1. To meet SLR, commercial banks can use cash only.
- 2. SLR is maintained by the banks with themselves.
- 3. SLR restricts the banks leverage in pumping more money into the economy.

Which of the statements given above are correct?

- (a) 1 and 2 (b) 1 and 3
- (c) 3 and 2 (d) All of these

72. Which of the following is not true about 'vote-on Account'?

- (a) It is a budget presented in the Parliament to cover the deficit left by the last budget
- (b) It does not allow the government to set for the economic policies of the new plan which starts from 1st April
- (c) It prevents the government from imposing fresh taxes or withdrawing old one
- (d) This allows the government to withdraw an amount for a period with the consent of Parliament

73. Which one of the following statements is correct?

Fiscal Responsibility and Budget Management Act (FRBMA) concerns

- (a) fiscal deficit
- (b) revenue deficit
- (c) Both fiscal and revenue deficit
- (d) Neither fiscal deficit nor revenue deficit

74. Who among the following Indian freedom fighters made an attempt to estimate the per capita income of India?

- (a) Gopal Krishna Gokhale
- (b) Feroze Shah Mehta
- (c) Surendranath Banerjee
- (d) Dadabhai Naoroji

75. Which among the following formulates Fiscal Policy?

- (a) RBI
- (b) Finance Ministry
- (c) SEBI
- (d) Planning Commission

76. What is 'recession'?

- (a) Rise in the cost of production, especially because of wage increase
- (b) increase in money supply without a matching increase in production
- (c) Reduction in production and employment for want of sufficient demand for goods
- (d) None of the above

77. Match the following

List I	List II
A. Depression	1. Co-existence of inflation and stagnation
B. Recession	2. Recovery from depression
C. Reflation	3. Reduction in production over a short period
D. Stagflation	4. Insufficient demand leading to idle men machinery over a long time
	5. Reduction in level of economy due to falling prices

Codes

- | | |
|-------------|-------------|
| A B C D | A B C D |
| (a) 1 2 3 5 | (b) 4 3 2 5 |
| (c) 4 3 2 1 | (d) 3 4 2 1 |

78. Which committee was constituted for reforms in tax structure?

- (a) Narsimham Committee
- (b) Chelliah Committee
- (c) Gadgil Committee
- (d) Kelkar Committee

79. The area under the Special Export Zones (SEZs) has been declared 'Foreign Territory'. This means that

- (a) goods cannot be brought into the domestic tariff area
- (b) SEZ goods cannot be sold in the domestic tariff area
- (c) goods brought from the SEZ to the domestic tariff area are to be treated as 'imported' goods
- (d) SEZ goods are free of excise duty

80. Under the Sick Industrial Companies (Special Provisions) Act, an industrial unit is considered sick, if

- 1. its net worth is entirely eroded.
- 2. it has eroded 50% of its peak net worth during any one of five consequent years.
- 3. its accumulated losses exceed its net worth and it has suffered cash losses for the current and preceding years.